

4-2c Balance Sheet

The balance sheet is prepared directly from the Adjusted Trial Balance columns of the [Exhibit 1](#) spreadsheet, beginning with cash of \$2,065. The asset and liability amounts are taken from the spreadsheet. The common stock and retained earnings amounts are taken from the statement of stockholders' equity, as illustrated in [Exhibit 2](#).

The balance sheet in [Exhibit 2](#) shows subsections for assets and liabilities. Such a balance sheet is a *classified balance sheet*. These subsections are described next.

Assets

Assets are commonly divided into two sections on the balance sheet: (1) current assets and (2) property, plant, and equipment.

Current Assets Cash and other assets that are expected to be converted to cash or sold or used up usually within one year or less, through the normal operations of the business, are called **current assets** (Cash and other assets that are expected to be converted to cash or sold or used up, usually within one year or less, through the normal operations of the business.). In addition to cash, the current assets may include notes receivable, accounts receivable, supplies, and other prepaid expenses.

Note

Two common classes of assets are current assets and property, plant, and equipment.

Notes receivable (A customer's written promise to pay an amount and possibly interest at an agreed-upon rate; amounts that customers owe for which a formal, written instrument of credit has been issued.)

are amounts that customers owe. They are written promises to pay the amount of the note and interest. Accounts receivable are also amounts customers owe, but they are less formal than notes. Accounts receivable normally result from providing services or selling merchandise on account. Notes receivable and accounts receivable are current assets because they are usually converted to cash within one year or less.

Ethics in Action

CEO's Health?

How much and what information to disclose in financial statements and to investors presents a common ethical dilemma for managers and accountants. For example, Steve Jobs, co-founder and CEO of **Apple Inc. (AAPL)**, had been diagnosed and treated for pancreatic cancer. Apple Inc. had insisted that the status of Steve Jobs's health was a "private" matter and did not have to be disclosed to investors. Apple maintained this position even though Jobs was a driving force behind Apple's innovation and financial success.

Steve Jobs's health deteriorated significantly, however, and that disclosure was eventually provided. On October 5, 2011, Steve Jobs died at the age of 56.

Property, Plant, and Equipment The “

Property, plant, and equipment (Long-term or relatively permanent tangible assets such as equipment, machinery, and buildings that are used in normal business operations.)

” section may also be described as **fixed assets** or **plant assets**. These assets include equipment, machinery, buildings, and land. With the exception of land, as discussed in [Chapter 3](#), fixed assets depreciate over a period of time. The original cost, accumulated depreciation, and book value of each major type of fixed asset are normally reported on the balance sheet or in the notes to the financial statements.

Link to Zynga

On a recent balance sheet, **Zynga** reported current assets of \$747 million; property, plant, and equipment and other assets of \$1,400 million; and total assets of \$2,147 million.

Liabilities

Liabilities are the amounts the business owes to creditors. Liabilities are commonly divided into two sections on the balance sheet: (1) current liabilities and (2) long-term liabilities.

Note

Two common classes of liabilities are current liabilities and long-term liabilities.

Current Liabilities Liabilities that will be due within a short time (usually one year or less) and that are to be paid out of current assets are called

current liabilities (Liabilities that will be due within a short time (usually one year or less) and that are to be paid out of current assets.)

. The most common liabilities in this group are notes payable and accounts payable. Other current liabilities may include wages payable, interest payable, taxes payable, and unearned fees.

Long-Term Liabilities Liabilities that will not be due for a long time (usually more than one year) are called

long-term liabilities (Liabilities that will not be due for a long time (usually more than one year).)

. If NetSolutions had long-term liabilities, they would be reported below the current liabilities. As long-term liabilities come due and are to be paid within one year, they are reported as current liabilities. If they are to be renewed rather than paid, they would continue to be reported as long term. When an asset is pledged as security for a liability, the obligation may be called a *mortgage note payable* or a *mortgage payable*.

Link to Zynga

On a recent balance sheet, **Zynga** reported current liabilities of \$480 million, long-

term and other liabilities of \$70 million, and total liabilities of \$550 million.

Stockholders' Equity

The stockholders' right to the assets of the business is presented on the balance sheet below the Liabilities section. The stockholders' equity of NetSolutions consists of common stock and retained earnings. The stockholders' equity is added to the total liabilities, and this total must be equal to the total assets.

Link to Zynga

On a recent balance sheet, **Zynga** reported common stock of \$3,505 million, a retained earnings deficit of \$1,908 million, and total stockholders' equity of \$1,597 million.